Mastercard Inc.

Equity Rating	Price	Sector	Classification
BUY ★★★★★	$537.85 (Nov 24th, 2025)	Financial Services	Mega Large Cap

Investment Summary

Mastercard is evolving from a high margin global payments network into a broader digital infrastructure and data driven technology platform. While its core business still revolves around authorization, clearing, settlement, and cross border fees, nearly 40% of total revenue now comes from Value Added Services (VAS), a fast growing portfolio of cybersecurity, identity verification, data analytics, and consulting solutions growing ∼20% annually. This diversification is structurally altering Mastercard's growth profile. Instead of relying solely on global spending trends, the company is increasingly monetizing its proprietary data through enterprise grade solutions. Combined with minimal marginal costs and a fixed cost heavy network, Mastercard continues to produce exceptional operating leverage and industry leading profitability.

Figure 1: Mastercard Stock Chart (5Y)

The company's long term compounding ability is driven primarily by two forces: (1) A global toll road on nominal spending, where inflationary environments naturally expand gross dollar volume (GDV) and lift assessment fees without increasing operating costs; and (2) Expanding penetration of high margin VAS which builds a durable competitive moat only Visa can realistically contest, yet Visa is not and does not have any plans to expand into this market in the near future.

Even with these strengths already recognized by the market, Mastercard's valuation still offers an exceptionally attractive return profile. Despite trading around a 34 earnings multiple, the company's mid-teens revenue trajectory, stable mid-50% operating margins, accelerating FCF, and persistent EPS compounding arguably understate this multiple. Near term headwinds such as the Capital One debit migration, tougher YoY comparisons, and elevated operating expenses are modest in scale relative to Mastercard's structural growth drivers, and they do little to impair the firm's long term value creation. As shown in our model, even under conservative assumptions, Mastercard delivers a projected 16.69% annual total return with a price target of $725, highlighting an above market compounding potential. For long term investors, the current valuation remains compelling, supported by a business with exceptional resilience, recurring revenue engines, and decades of runway in global digital payments and financial infrastructure.

Company Overview

Mastercard Snapshot (2024)

- **Founded:** 1966
- **Headquarters:** Purchase, New York
- **Employees: 35K+**
- **2024 Revenue: $28.2B**
- **2024 Earnings per Share: $13.89**

Key Business Segments:

- **Payment Network Services:** Authorization, clearing, settlement, cross-border fees
- **Cyber & Identity:** AI driven fraud detection, tokenization, identity verification
- **Value Added Services (Advisors):** Data analytics, Test & Learn experimentation, strategic consulting for banks, merchants, and governments

Mastercard is a global payments and financial infrastructure company that has evolved far beyond its traditional credit card network into a rapidly growing technology, data, and cybersecurity platform. While both Mastercard and Visa operate massive payment networks with similar core economics, Mastercard differentiates itself through its fast expanding Value Added Services segment (now nearly 40% of revenue) which includes AI driven fraud detection, identity verification, threat intelligence, data analytics, consulting, and loyalty infrastructure. This segment grows ∼20% annually and makes Mastercard deeply integrated into banks, retailers, and governments, creating high switching costs and a SaaS like business model. Visa remains more focused on scale and transaction processing, while Mastercard is building a broader, service led ecosystem that positions it as the digital "operating system" behind global commerce, giving it a structurally different growth runway and competitive advantage.

Business Model

Mastercard operates a global payments and data infrastructure platform built on two primary revenue streams: payment network services and Value Added Services (VAS). Core payment services, including authorization, clearing, settlement, and cross border fees, remain the foundation of the business and contribute just over 60% of total revenue. A common misconception is that Mastercard takes a percentage of every card purchase, but in reality the interchange fee goes to the issuing bank. Mastercard simply collects tiny assessment and processing fees from banks. For Mastercard, rising global consumer spending expands Gross Dollar Volume (GDV), which increases the tiny assessment fees they charge issuers on each dollar spent, while higher transaction frequency boosts their processing fees, meaning they earn more as both the value and the volume of transactions on their network grow, despite not taking a cut of the purchase itself. The remaining ∼40% of revenue comes from the company's rapidly expanding VAS segment, which includes cybersecurity products, AI driven fraud prevention, identity verification, data analytics, consulting (Mastercard Advisors), loyalty and rewards management, and government digital infrastructure. This services segment is the company's primary growth engine, consistently expanding ∼20% annually and embedding Mastercard deeply into customers' operational workflows, creating high switching costs and recurring, SaaS-like revenue.

Mastercard's vertically integrated model, combining proprietary transaction data, a global payments network, and a portfolio of software-based services, produces exceptional operating leverage. Incremental transaction volume and service adoption drive outsized profit growth due to fixed cost scalability and minimal marginal expense. Unlike Visa, whose business remains more concentrated in high volume payment processing, Mastercard has strategically diversified into higher margin services that extend beyond payments into cybersecurity, analytics, and enterprise/government digital solutions. This positions Mastercard not only as a card network but as a digital infrastructure provider across the financial system. Continued expansion of VAS penetration, especially within banks, retailers, and governments, represents a major long term growth lever, enabling Mastercard to compound revenue at a faster rate than traditional payment peers.

Mastercard's flywheel starts with its global payments network, which gives the company the scale and reach needed to continually expand its services and solutions. As payments volume grows, Mastercard processes more transactions and pulls in more data across its network. That richer data foundation then feeds into increasingly sophisticated services, analytics, fraud tools, identity products, and consulting, which make Mastercard's offering more differentiated and valuable to customers. Those improved services help the company win new deals and renew existing ones, driving even more payment volume back onto the network. Over time, this creates a self reinforcing loop where payments growth fuels better services, and better services fuel further payments growth.

Fundamental Overview

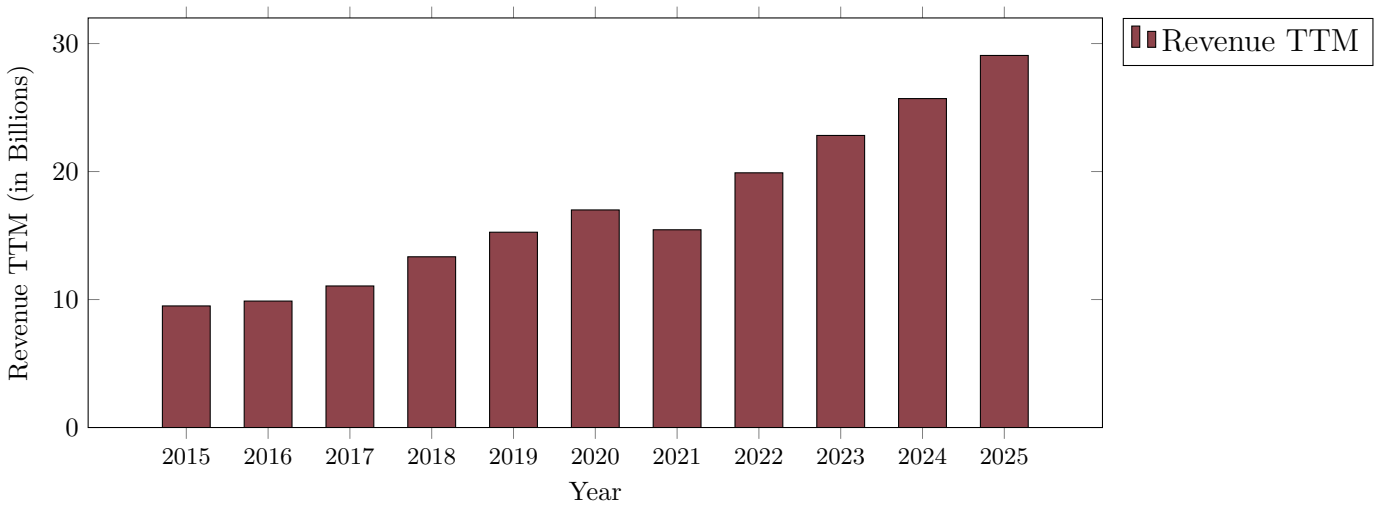

Figure 2: Mastercard Revenue TTM (Q1 2015–Q1 2025, in Billions)

Mastercard has delivered consistently strong revenue growth over the past decade, compounding in the mid-teens (2Y CAGR 13.65%, 5Y CAGR 15.08%) and steadily outpacing Visa's low double digit (around 11%) expansion. What really stands out is how broad based the growth has been: the core payments network continues to scale with global consumer and commercial spending, while the Value Added Services (VAS) segment has become a major accelerator, pushing Mastercard's overall top line into the mid double digit range and giving the company a more diversified revenue mix. This combination of steady spending driven growth and faster growing services keeps Mastercard on a strong and durable revenue trajectory.

Revenue Segments

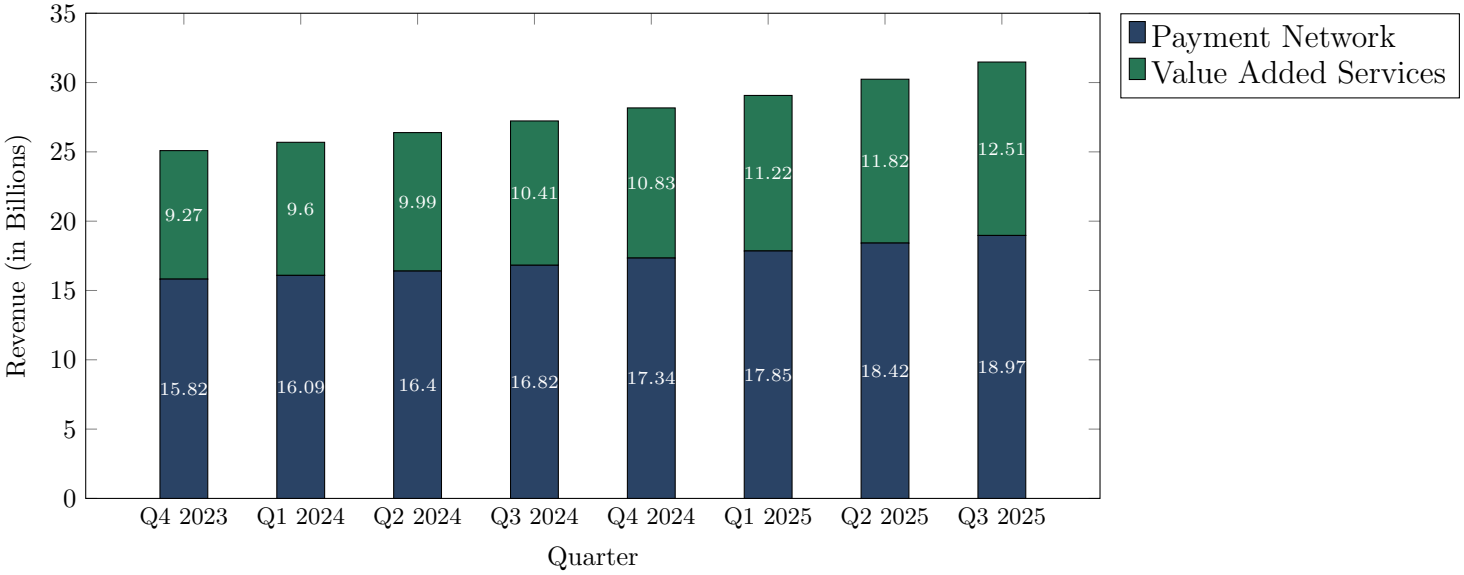

Figure 3: Mastercard Quarterly Revenue by Segment (2023–2025, in Billions)

Mastercard generates revenue through two primary business segments: Payment Network Services and Value Added Services (VAS). Payment Network Services represent the traditional core of the company, functioning as a global toll road on electronic payments. Similar to Visa, this segment includes cross border fees and transaction processing revenue. Although Mastercard does not take a percentage of the transaction itself, the company earns small fees on both the value and the volume of transactions routed through its network. This segment remains highly profitable and benefits directly from long term secular growth in digital payments.

However, the more meaningful strategic driver of Mastercard's revenue mix is its rapidly expanding Value Added Services segment, which now accounts for nearly 40% of total revenue. This includes cybersecurity and identity solutions, analytics and consulting (via Mastercard Advisors), loyalty and marketing services, and government/commercial digital infrastructure offerings. Mastercard leverages the enormous dataset generated by its global payments network to power these services, enabling clients to optimize fraud management, pricing, consumer engagement, and strategic planning. This proprietary data advantage creates high switching costs and positions VAS as a recurring, software-like revenue stream.

VAS has grown ∼20% annually over the past two years, significantly outpacing the growth of the core payments business. As Mastercard continues to diversify toward these higher margin, higher-stickiness service lines, the company is structurally improving its long term revenue visibility and margin profile. The ongoing shift toward advisory, analytics, and security solutions represents one of Mastercard's most important long-run levers for accelerating revenue growth and sustaining competitive differentiation.

Seasonality & Cyclicality

Mastercard's revenue is not very cyclical. Because the company generates fees every time a card is used, its revenue base is supported by steady, recurring transaction activity across essential categories like groceries, fuel, utilities, and e-commerce. Mastercard doesn't take credit risk or rely on lending margins, so it avoids the sharp earnings swings seen in banks or consumer finance companies. Structural tailwinds, such as the continued shift from cash to digital payments and the rapid growth of VAS, further reduce cyclicality and help drive consistent, long term revenue growth.

That said, Mastercard is slightly sensitive to macro conditions. Cross border travel volumes, discretionary retail spending, and overall nominal spending growth can soften during economic slowdowns, modestly impacting the top line growth. But even in downturns, core domestic payment activity remains resilient, and VAS revenues tend to be sticky and recurring.

Profitability Profile

EPS Growth and Margins

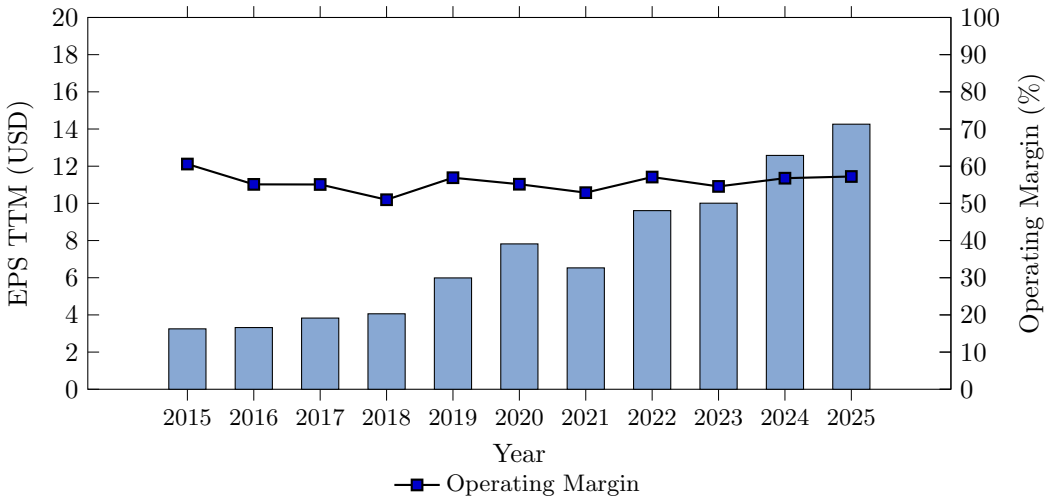

Figure 4: Mastercard EPS and Operating Margin Trends (2015–2025, TTM as of Q1).

Mastercard's EPS growth has been exceptionally strong, compounding in the high teens for over a decade, and the chart highlights how consistent and durable that trajectory has been. The primary driver behind this rapid EPS expansion is Mastercard's powerful operating leverage. The company runs on a largely fixed cost infrastructure, with its global network, security systems, and data platforms requiring a significant upfront investment. However, once in place, it serves additional transactions while delivering new services with an incremental cost being marginal. This creates a model where revenue growth flows disproportionately skewed to the upside in the bottom line.

While operating margins have already expanded significantly over the past decade and now stabilize in the mid-50% range, Mastercard continues to compound EPS through a combination of steady top line growth and aggressive share repurchases. The company's strong free cash flow generation consistently funds buybacks that meaningfully reduce the share count, amplifying per-share earnings even when margins remain steady. Together, the combination of high operating leverage, strong revenue growth, and disciplined capital returns has made Mastercard one of the most reliable EPS compounders in the market.

Mastercard maintains exceptionally strong margins through its highly scalable model: once the global payments network and security infrastructure are in place, processing additional transactions costs almost nothing. While margins expanded meaningfully over the past decade, they've now largely stabilized rather than continuing to climb, driven by increased investment in services, cybersecurity, and international expansion. Even so, the current margin profile remains one of the strongest in the industry, and steady revenue growth means Mastercard continues to deliver substantial profit growth despite the plateau.

Free Cash Flow Generation

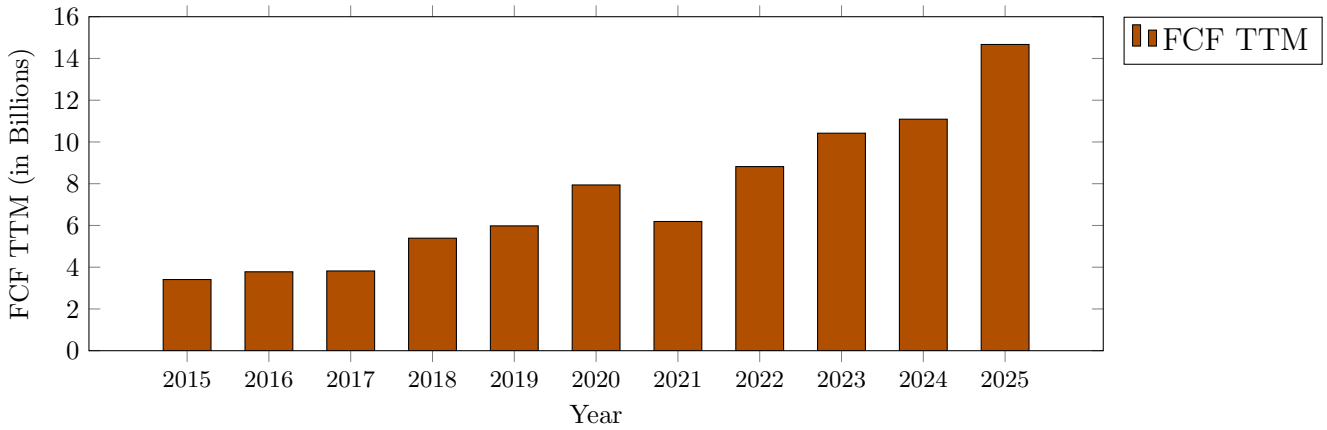

Figure 5: Mastercard Free Cash Flow TTM (Q1 2015–Q1 2025, in Billions)

Mastercard's free cash flow profile is one of the strongest in the payments industry. Because the company operates a highly scalable, asset light model, it requires very little capital expenditure to support growth. As a result, a large portion of operating income converts directly into free cash flow each year. FCF has compounded at 18% over the last 5 years, and recently compounding 28% in the last 2 years, supported by consistent revenue growth, stable mid-50% operating margins, and limited working capital swings. Unlike many large technology and fintech companies, Mastercard has very low stock based compensation, which means reported FCF closely reflects true economic cash generation. With minimal deferred revenue and almost no ongoing infrastructure capex, Mastercard produces clean, predictable cash flows that consistently fund substantial share repurchases and dividend growth. This reliable FCF engine is a key pillar of Mastercard's long term compounding story.

Return on Invested Capital

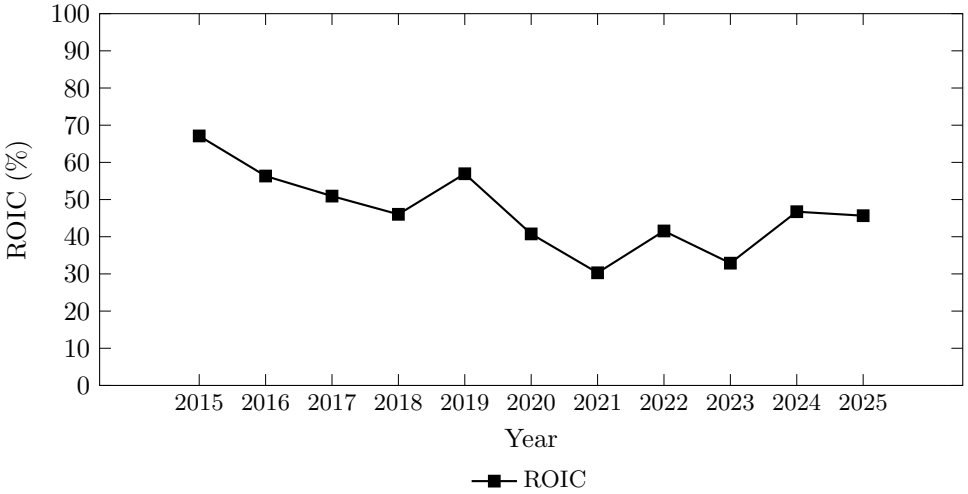

Figure 6: Mastercard ROIC Trend (2015–2025).

Mastercard consistently delivers exceptionally high ROIC, typically in the 40 to 50% range, which places it among the top performers across the entire financial and technology landscape. This reflects the company's asset light operating model, minimal capital intensity, and strong pricing power across its global payments network. Because Mastercard doesn't need to invest heavily in physical infrastructure, most incremental revenue turns directly into economic profit, allowing ROIC to stay elevated even as the business scales. The stability of ROIC over time also highlights the durability of Mastercard's competitive moat, driven by network effects, high switching costs, and a growing suite of value added services. Sustained ROIC at these levels signals that Mastercard continues to allocate capital efficiently and is able to compound shareholder value at an above market rate for the long term.

Balance Sheet Health

Mastercard maintains a strong and conservative balance sheet that supports its long term growth strategy and consistent capital returns. The company holds $8.44 billion in cash, providing ample liquidity relative to its $19.22 billion in current liabilities. Total liabilities stand at $41.57 billion, but only a small portion of this is short term debt (about $750 million) which significantly reduces refinancing or near term solvency risk.

Leverage is also very manageable. Mastercard's total debt sits well below its annual EBITDA, with an EBITDA to total debt ratio under 1x, indicating that the company could theoretically repay all outstanding debt with less than a year of operating cash generation. Given Mastercard's asset light model, stable cash flows, and consistent free cash flow conversion, the company has no difficulty servicing its obligations and retains significant financial flexibility.

Overall, Mastercard's balance sheet is clean, liquid, and conservatively structured, giving the company room to continue investing in growth, funding buybacks and dividends, and weathering potential macro volatility.

Non-Recurring Items and One-Offs

In 2024, Mastercard recorded a one time restructuring charge of $190 million (or $147 million after tax, equivalent to $0.16 per diluted share). The charge was related to operational streamlining initiatives and is not indicative of ongoing cost structure or profitability. While this temporarily reduced reported EPS for the year, it artificially boosts YoY EPS growth when comparing against future quarters, since the base period EPS is understated.

This adjustment does not materially impact the company's long term earnings power or valuation, but it does serve as a reminder to interpret historical short term EPS acceleration with caution when using pure QoQ or TTM growth rates. For forecasting purposes, the restructuring cost should be excluded, as it reflects a true non recurring expense rather than a structural shift in profitability.

Capital Returns to Shareholders

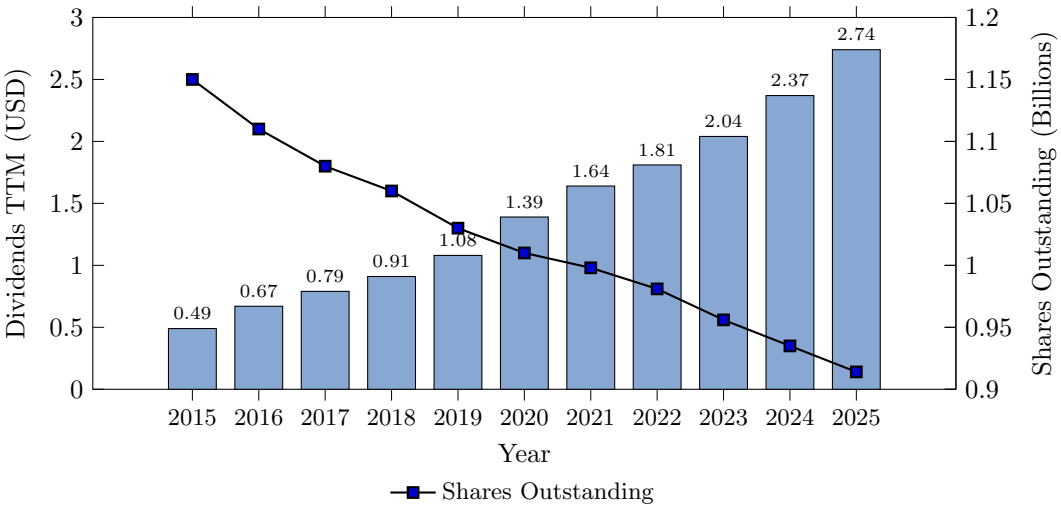

Figure 7: Mastercard Capital Returns and Share Count (2015–2025).

Mastercard has a long track record of returning substantial capital to shareholders through both share repurchases and dividends, supported by the company's consistently strong FCF generation.

Share repurchases remain the primary lever. Over the past decade, Mastercard has steadily reduced its share count at roughly ∼2% per year, as shown in the chart. The company regularly authorizes multi billion dollar buyback programs, and because free cash flow continues to scale, these repurchases meaningfully enhance EPS growth even in periods when margins are stable. This disciplined and consistent reduction in shares outstanding has been one of the biggest contributors to Mastercard's long term EPS compounding.

On top of buybacks, Mastercard also delivers reliable dividend growth. The company has increased its dividend at a high teens pace (around 13 to 15% annually), reflecting confidence in its cash flow durability. While the dividend yield is low, Mastercard's payout strategy is intentionally conservative, leaving ample room for reinvestment and buybacks while still offering shareholders a steadily rising cash return.

Together, Mastercard's dual approach, aggressive repurchases paired with consistent dividend growth, creates a powerful and shareholder first capital return framework that complements its high ROIC, asset light business model.

Management

Mastercard's corporate strategy centers on expanding its global payments footprint while transforming the company into a data driven fintech platform. Management focuses on deepening penetration across both developed and emerging markets, using partnerships with banks and governments to tailor solutions to local needs and accelerate the migration from cash to electronic payments. At the same time, Mastercard continues to modernize its network through investments in new transaction rails infrastructure, ensuring that segment remains the backbone of global commerce as digital transactions scale.

A second pillar of the strategy is building a diversified, high margin ecosystem of value added services supported by Mastercard's unmatched data assets. By leveraging analytics, fraud prevention, and consulting services, Mastercard creates a reinforcing flywheel. More transactions generate more data, which improves services, which strengthens customer stickiness and drives more volume. This approach not only enhances long term growth but also supports financial inclusion initiatives, enabling the company to bring secure, affordable digital finance to underserved populations while expanding its future addressable market.

Mastercard vs. Visa

Mastercard and Visa together operate one of the strongest duopolies in global finance. Both firms sit at the center of the world's payment infrastructure, benefiting from huge network effects and structurally high margins. Visa remains the larger player by revenue, generating roughly $40 billion vs Mastercard's $30 billion. On a pure payment rails basis, Visa is even more dominant with the overwhelming majority of its revenue tied to its core processing business, whereas Mastercard has closer to ∼60% from payment rails. Visa also benefits from lower customer acquisition and incentive spending (roughly 20% of revenue vs Mastercard's ∼30%), which contributes to its slightly higher operating margins, typically about 4 to 5 percentage points above MA.

But the real strategic divergence between the two models is Mastercard's deliberate expansion into VAS. Visa's services portfolio is more closely integrated with its core network, designed primarily to support and enhance payment flows, which is why VAS contributes only about ∼10% of Visa's revenue. Mastercard, by contrast, has built a broader services platform with exposure to cybersecurity, analytics, consulting, and fraud tools. This segment is growing at roughly 20% annually and already represents ∼40% of Mastercard's revenue, materially altering the company's growth profile. While the payment rails portion of the business grows at similar rates for both Visa and Mastercard, VAS is what pushes Mastercard ahead in aggregate revenue expansion.

This advantage shows up directly in the financial results. Mastercard's revenue CAGR meaningfully outpaces Visa's (MA: 2Y 13.65%, 5Y 15.08% vs. V: 2Y 10.68%, 5Y 12.86%), and the EPS compounding gap is even wider (MA: 5Y 18.58% vs. V: 15.86%). Despite this higher growth profile, Mastercard trades at nearly the same earnings multiple right now, low to mid 30s for both companies.

For that reason, Mastercard seems like the stronger opportunity. Both firms own irreplaceable global networks, but Mastercard pairs its payment rails franchise with a structurally faster compounding VAS engine. That mix creates a more diversified revenue base, higher long term growth potential, and a path to sustained EPS outperformance, all without paying a premium multiple relative to Visa.

Stablecoin Disruption

Stablecoins are not a zero fee merchant rail

Even when a merchant accepts stablecoins directly and avoids the card network swipe fee, the merchant still has to recreate what card networks and issuers bundle. This would include fraud screening, identity checks, refunds, disputes, compliance evidence, customer support, etc. The moment a merchant wants those outcomes, it either pays a provider for that stack or builds it internally. When that stack is priced in basis points, the savings versus cards often compress sharply, and in higher fraud categories they can disappear.

Firstly, fraud and disputes are the big hidden cost variables. A simple way to model the all in operational burden uses the data from MRC that merchants often incur about $4.54 of total cost for every $1 of fraud loss (tools, labor, remediation, and operational drag). This can give us a simple formulation where all in fraud and dispute cost (%) = fraud loss rate (%) × 4.54. Just to show the impact, 0.10% fraud loss implies 0.454% total cost, 0.25% implies 1.135%, and 0.50% implies 2.27%. When looking at how much the total interchange fees are around 2.35% it shows that just the fraud alone will be a significant portion of the cost to the merchant that would be absorbed by Mastercard and Visa. This is why stablecoin savings compress quickly. As fraud rises, the cost of recreating the safety of a payment network scales up fast.

Secondly, a two environment view shows why the higher fraud case is to be expected when switching to an all crypto payment system. In a mature, card-like baseline, a reasonable assumption is around 10 bps fraud loss. Nilson 2023 data implies roughly a 10.24 bps fraud loss on US issued cards. Under the multiplier framework, the fraud stack is 0.1024% × 4.54 = 0.465%. In a more realistic stablecoin ecommerce case, ˜40 bps fraud loss is plausible because stablecoin payments behave more like instant push payments layered onto a still maturing ecosystem for scams and dispute operations. There is a lot of data that points to supporting crypto having a higher loss rate than the aggregate card baseline. Mastercard has cited crypto related transaction contexts having multiple times higher fraud, with their summary noting ˜4x versus non crypto contexts (which would be around 40.96 bps). A Pulse issuer study referenced in US debit research shows card not present debit fraud at 41.6 bps in 2023, and ecommerce stablecoin acceptance is structurally closer to remote commerce than to chip in store. Instant push payments can have a lot of downside risk too. The UK Payment Systems Regulator reports that about $5,922 out of every $1 million received is tied to scams, roughly 0.592% (about 59 bps). Stablecoins are also heavily present in higher risk flows, which increases monitoring and abuse pressure: Chainalysis reports stablecoins are 63% of illicit crypto transaction volume, and Reuters has reported Brazil flows being ˜90% stablecoins. Nuance matters here: this does not mean most stablecoin volume is illicit, but it does mean stablecoins are the preferred unit in many illicit and scam contexts, which raises expected compliance and fraud load at the margin. Under this higher loss environment, the fraud stack is 0.40% × 4.54 = 1.816%.

This is all assuming that merchants will have the technical skill as well as the willingness and time to work out all of this fraud infrastructure. Most smaller mom and pop shops are not going to be able to make something like this and even bigger merchants

do not have a large enough incentive to build all of this when the fraud costs alone is 1.816% of the transaction (saving 1% while adding a whole lot of complexity and not including constant improvement of technology).

In a low fraud environment stablecoins may be theoretically able to show real savings. But once merchants breach into crypto (an inherently large fraud space) total cost converges toward card economics. Either environment will add a meaningful execution burden and operational risk across refund workflows, dispute handling, compliance evidence, and everything else payment networks already handle.

US Credit Culture Will Limit Stablecoin Adoption Because Stablecoins Behave Like Digital Cash

Credit is deeply ingrained in US households. CFPB survey evidence shows about 80% of consumers have a credit card, and 49% of consumers with a credit card carried revolving debt in 2024. In the Fed's latest SHED data (2024), only 63% of adults say they could cover a $400 emergency expense using cash or an equivalent. Among the remaining 37%, the Fed's breakdown shows the most common non-cash methods are to pay it through credit. On the market level, the CFPB also notes total credit card balances exceeded $1.2 trillion in 2024, and credit card purchase volume was $3.6 trillion. And importantly, the CFPB reports that only 43% of cardholders repaid in full each month in 2024, meaning the majority did not and could not have funded a lot of those purchases with a debit card.

Stablecoins, however, are a pre-funded settlement asset. You must already have the dollars (or the reserve backed claim) to spend. That is fundamentally different from US credit cards, which provide:

- Unsecured credit creation and elasticity (a line of credit that lets you spend even when your deposit balance is short)
- A standardized dispute and chargeback stack
- Fraud monitoring plus consumer reimbursement norms
- And most importantly, rewards tied to the credit card ecosystem

Modern economies need elastic money and credit so obligations can be discharged without gridlock, and banks create money through lending including overdrafts and lines of credit. By contrast, stablecoins fail elasticity because additional issuance requires full up-front payment by holders, a cash in advance constraint. So if the US consumer base often needs to spend before they have cash (exactly what the Fed and CFPB data above is capturing), a debit like stablecoin rail cannot substitute for that behavior unless you bolt a credit system on top.

Knowing this, it is also important to note Mastercard has a heavy exposure to credit, as they state that key commercial offerings (travel and entertainment, procurement, fleet) as consisting mostly of credit cards.

So, a stablecoin push that behaves like debit primarily targets the part of consumer spending that is already "pay now," but the US payment system is heavily anchored to pay later behavior. Stablecoins do not natively provide credit, and recreating credit on top of stablecoins means rebuilding the same underwriting, loss absorption, and consumer protection stack that makes cards work at scale.

Can Stablecoins Be Used as Credit Instead of Debit?

We have already established why stablecoins, when used like cash or debit, are not really disrupting American credit markets. But if the question is whether stablecoins could matter in a credit card like way, the key point is that credit is not the money itself. Credit is a separate product layered on top where a lender takes risk, sets terms, funds losses, and earns interest and fees. Stablecoins also do not inherently pay returns to holders, and most usage today is still tied to crypto trading rather than everyday consumer payments. So stablecoins as credit only works if you add a credit overlay.

In practice, that overlay usually looks like one of three models. First, a traditional lender such as a bank or regulated card issuer extends a credit line, and repayment could happen in USD or stablecoins. Second, a crypto backed credit line where you borrow against collateral like BTC, ETH, or stablecoins, which is structurally different from mainstream US credit because it is typically overcollateralized and can liquidate collateral. Third, a merchant uses BNPL style economics, which still requires underwriting and a way to fund losses.

The mass market version of this today is crypto cards that market themselves like credit products. These are usually cards that let users spend a crypto or stablecoin balance at normal merchants through existing card network infrastructure. They feel like alternatives because they often bundle crypto denominated rewards, make conversion feel invisible, or offer "credit mode" borrowing against crypto so users can spend now and repay later.

But once you look under the hood, two problems show up fast. First, traditional card rewards are funded by a durable interchange engine that scales with spend, which helps pay for rewards, fraud tooling, and disputes as a built in system feature rather than a temporary promo. Second, stablecoin based rewards are often funded by a rate sensitive or promotional stack, such as subscriptions, marketing subsidies, token incentives, or sharing reserve yield, which can reprice quickly when yields compress or partner economics change.

Finally, even when stablecoins are packaged to feel like credit, most of these products still swipe like normal cards at checkout and run on Visa, Mastercard, or AmEx rails. Merchants typically just see a standard card transaction, because any stablecoin funding or conversion happens behind the scenes. That is why stablecoin payments can grow as a funding source for card programs without meaningfully displacing the core card networks or the underlying economics of US credit.

Financial Crime in Stablecoins

One big overhang for stablecoins is financial crime exposure because they move like cash (in the sense that each transfer is instant and very hard to refute). Chainalysis estimates that crypto scams received at least $14 billion on chain in 2025, and notes that totals tend to rise as attribution improves. TRM Labs estimates 99% of stablecoin activity is licit, yet in Q1 2025 stablecoins were about 60% of illicit crypto transaction volume, largely because low cost, speed, and broad availability help both good and bad use cases. Chainalysis also finds stablecoins have become the dominant unit in on-chain crime, accounting for 63% of illicit transaction volume in its 2025 Crypto Crime framing. Brazil's central bank has said roughly 90% of crypto flows are tied to stablecoins, which raises monitoring and oversight pressure even when usage is not inherently illicit. At the extreme end, UNODC has warned that industrial scale scam compounds generate just under $40 billion a year in profits, with crypto rails playing a role in laundering and movement of funds. If stablecoins are to be mainstream they inherit heavier expectations around monitoring, compliance evidence, and reimbursing victims, which adds cost and friction versus the cheap token transfer pitch.

A common pushback is that stablecoins can build a real trust layer, but the realistic path looks like turning stablecoin settlement into regulated money movement + governed dispute resolution. Today, most transfers are effectively irreversible unless the recipient cooperates, and the fraud data points show why cash like rails get ugly fast. Mastercard's own Fraud Insights summary cites 4x higher fraud rates on crypto versus non crypto transactions. Remote commerce is also meaningfully riskier than in person. A Pulse issuer study referenced in Federal Reserve research shows card not present debit fraud at 41.6 bps in 2023, and stablecoin ecommerce acceptance structurally resembles remote payments more than chip in store. The UK Payment Systems Regulator shows that among the top 20 receivers of APP scams aggregated by firm size, the smallest receiver group (under $10bn received) had an average scam rate of $5,922 per $1 million received.

So a trust layer for stablecoins basically means rebuilding what cards already bundle: strong KYC and monitoring at wallet and issuer edges, standardized dispute rules and liability allocation, merchant accountability, and a credible promise to make users whole in common fraud cases. You can implement pieces of this with issuer and custodial controls (freezing, blacklisting), escrow style checkout windows, and a wallet or network fronting refunds then pursuing recovery, but once you scale that to Mastercard level safety, someone has to fund fraud ops, dispute labor, monitoring, and loss coverage. That funding shows up as fees, spreads, or subsidies, and it tends to shrink the cheap rail advantage. Net, stablecoins look more plausible as a settlement backbone that incumbents integrate, rather than a clean consumer payments wedge that replaces Mastercard.

Could government backed payment rails (FedNow, UPI, Pix) disrupt the card networks?

Evidence points to limited disruption, even though these rails can absolutely take transaction counts and some domestic, low ticket debit like mix. The first transactions that instant A2A rails win are usually the lowest monetization pools, while Mastercard's growth and monetization are increasingly coming from cross border and services that these rails do not replicate well.

Let's start with the US because it is the market investors often worry about most. Cards are deeply embedded in how Americans pay and borrow. In October 2022, cards accounted for 63% of consumer payments by number of payments. And the Fed's payments study shows 153.3 billion general purpose card transactions in 2022, totaling about $9.76 trillion. The bigger structural point is that the US "payment experience" is often bundled with credit access. About 81% of adults have a credit card. Revolving balances are massive, with US credit card balances around $1.28 trillion (latest Fed household debt reporting). Government instant rails are fundamentally push payment systems, so they are not naturally "credit first," and when they try to add credit, they usually end up recreating card-like features in a more complicated way.

Now look at each rail through that "revenue and EPS disruption" lens:

FedNow (US): FedNow is important infrastructure, but it is not a consumer checkout product by itself. The Fed is explicit that FedNow is offered to banks and credit unions, and the Fed does not provide banking applications to end users. Volumes are also

still tiny relative to card scale. Recent FedNow reporting shows roughly 2.13 million payments in a quarter. Compare that to the US card system doing 153.3 billion transactions per year. So yes, FedNow can accelerate pay by bank for bill pay, insurance payouts, payroll, and some debit substitution, but it is not remotely close to a direct revenue destroying threat to card networks yet.

Pix (Brazil): Pix reached about 42% share of Brazil's online payments, slightly ahead of credit cards at 41%. However, Pix is expanding in part because it reaches consumers outside the credit card system, including initiatives aimed at people who are not well served by cards. For example, Brazil has tens of millions of people without credit cards, and Pix product expansion has been framed around broadening access. And when Pix tries to move up market into higher ticket purchases, it has to add card like credit features. The central bank's Pix Parcelado rollout (starting September 2025) lets a shopper split a purchase into installments while the merchant still receives the full amount upfront, which means some bank or fintech is fronting the funds and taking repayment risk. Mechanically, that is a BNPL style wrapper: the customer's financial institution approves a limit at checkout, pays the merchant immediately, then collects from the customer over time, typically with terms set by risk assessment (limit, number of installments, and pricing). However, a key difference between this and a credit card structure is that Pix does not offer 0 percent interest if paid with no balance open. That matters for the US because the US is credit entrenched, and consumers are used to a revolving credit line with an interest free grace period if you pay the statement, plus rewards and standardized protections.

Push payment systems prioritize speed and finality, but that finality creates a different consumer risk profile, and the World Bank explicitly notes that the irrevocable, final nature of fast payments can make them more attractive to fraudsters and raises the importance of strong dispute resolution and consumer protections. Brazil is a lived example investors can anchor to, with 2025 Brazilian Senate coverage citing the Brazilian Public Security Forum saying that from July 2024 through June 2025, 24 million people were victims of financial scams involving Pix or boletos, with losses of almost R$29 billion. CNN Brasil, citing Febraban data, reports total financial fraud losses of R$10.1 billion in 2024, with about R$2.7 billion tied to Pix scams, and it notes Pix scam losses increased materially. Even when refunds exist, they do not work like card chargebacks since Pix's MED process can reimburse fraud victims but refunds can depend on the available balance left in the recipient's account, which is a key limitation when funds are moved quickly. Mastercard, by contrast, is built around standardized dispute and chargeback frameworks plus zero liability commitments, with Mastercard stating cardholders are protected against unauthorized transactions under its Zero Liability policy and its chargeback rulebooks defining dispute workflows across issuers and acquirers, and that confidence that you can be made whole is a big reason cards stay sticky in higher trust ecommerce and higher ticket purchases.

Mastercard's own reporting shows it is not just "swipe fees." In 2025, Mastercard reported net revenue of $32.791B (+16%). Value added services and solutions were $13.315B (+23%), about 41% of net revenue, and cross border assessments were $12.021B (+18%). Mastercard also emphasizes its global reach across 220+ countries and territories and 150+ currencies, which is exactly where government domestic rails are weakest. So the clean takeaway is: instant government rails can win domestic, low ticket, debit-like volume, but that is not automatically a large hit to Mastercard's revenue and EPS runway because Mastercard's faster growing monetization pools are services plus cross border plus high trust commerce.

These rails are a real competitive force and they will pressure some domestic card mixes in certain countries, especially where credit penetration is lower. But based on scale, credit economics, protections, and Mastercard's revenue mix, they look more like a mix shift headwind in specific pockets, not a thesis breaking disruption to Mastercard's consolidated revenue and EPS growth potential.

How big is the "10% of credit card volume at risk" issue, and is it even likely to pass through legislation?

A 10% APR cap is a massive risk and would break the economics for lending to riskier borrowers. In the U.S., the credit card system is massive: about $3.6T of annual purchase volume and more than $1.2T of balances, with banks collecting roughly $160B per year in interest charges and $31.3B in fees. The average APR is about 25.2% on normal bank credit cards (Visa/Mastercard cards you can use anywhere) and about 31.3% on store cards (like a Target card or a Best Buy card that is mainly used at that retailer). Also, about 50% of accounts "revolve" which means they do not pay the full bill each month and instead carry a balance, so they get charged interest (Economic Well Being of U.S. Households in 2024 by the Fed Reserve, May 2025).

If interest charges scaled down in line with the cap versus a 25.2% average, total interest collected would drop from about $160B to about $63.5B, a reduction of roughly $96.5B per year. That size of revenue hole would likely push banks to approve fewer people, cut credit limits, and reduce lending to higher risk borrowers, because the risk reward no longer makes sense at 10%. That is why big banks argue the access impact would be extreme. JPMorgan's Jamie Dimon has said a 10% cap could effectively remove access to credit for about 80% of Americans because the math stops working for most of the current borrower pool. And for consumers, "just use debit" is not a real substitute because debit cannot replace borrowing. Many households do not have enough cash buffer to handle shocks: only 63% of adults say they could cover a $400 emergency expense with cash or something equivalent. So if credit gets rationed, spending tends to fall.

Put together, the policy would likely (1) cut interest revenue by an amount on the order of tens of billions annually, (2) push banks to sharply restrict who gets credit, and (3) reduce consumer spending by hundreds of billions in plausible scenarios. Because that is such a blunt, economy-wide shock and would anger a large share of voters who rely on revolving credit, the near term likelihood is generally viewed as low, and it is not clearly moving through the normal committee and markup path in Congress.

Catalysts

Accelerating growth in Value Added Services remains one of Mastercard's most important long term catalysts. As VAS continues to scale at a structurally faster rate than the core payments business, it supports a sustained premium valuation because investors reward companies with durable, high-margin, and recurring service revenue. The market increasingly views Mastercard not only as a payments network but as a data, security, identity, and analytics platform with expanding profitable avenues to expand into, which justifies its elevated multiple relative to traditional transaction processors.

The current macroeconomic backdrop is also favorable. High tariff uncertainty is forcing many companies to adjust supply chains while interest rates are being cut despite inflation remaining above the Federal Reserve's preferred target. This creates an environment where nominal spending remains elevated as we approach an inherently elevated inflationary environment. Mastercard benefits directly from this dynamic because inflation lifts gross transaction values and therefore increases assessment fee revenue without raising operating costs. The company effectively operates a global toll road on consumer and commercial spending, and sustained levels of nominal consumption translate into incremental revenue almost dollar for dollar.

Mastercard also has a significant competitive advantage in VAS. The scale of data required to support fraud tools, identity solutions, loyalty analytics, and consulting creates extremely high barriers to entry. Only Visa has the network to attempt to compete. However, Mastercard has built a meaningful lead in VAS through earlier investment, deeper product penetration, and well established customer relationships. Even if Visa attempts to accelerate its presence in this category, it will enter from a position of disadvantage, with fewer integrated partnerships and less proven product maturity. Existing clients that rely on Mastercard's suite of services have limited incentive to switch providers, which reinforces Mastercard's competitive moat and positions the VAS segment as a multi-year driver of revenue mix improvement, margin stability, and overall EPS growth.

Valuation

We value Mastercard using a top down revenue model that flows into EPS and an appropriate exit P/E multiple. The numbers in the model encode a broader narrative about competitive durability, the evolution of global payments infrastructure, and the scalability of value added services. The P/E we award Mastercard is ultimately a sentiment gauge: will the market continue to view MA as one of the highest quality, widest moat businesses in the world, and how much of a structural premium will investors be willing to pay for its consistency, resilience, and FCF and EPS generative power?

Our story for Mastercard centers on a company with deeply entrenched competitive advantages and a long runway of compounding ahead. Core payment network revenues continue to grow at a healthy pace, tied to secular tailwinds in global electronic payments penetration, cross border travel recovery, and continued GDP linked spending growth. But what truly accelerates Mastercard's long term trajectory is the rapid expansion of its Value Added Services (VAS) segment, outgrowing the core network and transforming Mastercard from a pure toll road into a diversified intelligence, security, and data-services platform. VAS is sticky, high margin, and becoming an increasingly large share of total revenue, giving Mastercard more control over its top line destiny and reducing reliance on nominal spending further.

Meanwhile, Mastercard's business model is structurally insulated from macro shocks. Revenue exposure tied to interest rates, credit losses, or consumer balance sheets is minimal, and its diversified global footprint dampens volatility. Even during downturns, Mastercard's volumes contract mildly and recover rapidly, underscoring the robustness of its operating engine. The company's margin profile, already elite, is supported by disciplined OpEx growth, minimal capital intensity, and a business model where incremental revenue converts into profits at extraordinary rates. This creates a powerful flywheel: high margins $\rightarrow$ high profits$\rightarrow$ aggressive buybacks $\rightarrow$ EPS compounding well ahead of revenue.

Mastercard scales like the ideal modern financial infrastructure company. It is currently growing steadily, expanding its high return VAS ecosystem, maintaining a fortress balance sheet, and returning a massive amount of capital to shareholders. All of these reasons justify a premium valuation that we estimated to be 37 P/E Ratio based on historical multiples it has traded off and the accelerating revenue and EPS growth rate.

EPS based Valuation Model

Ticker	Share Price	Current Dividend	Target P/E Multiple
MA	$537.85	$3.04	37.00

Revenue Growth	OpEx Growth	Net Share Dilution	Dividend Growth %
13.00%	11.00%	-2.00%	13.00%

Factors	2025	2026	2027	2028	2029	2030
Revenue (bil)	$28.17	$31.83	$35.97	$40.64	$45.93	$51.90
Operating Expense	$12.59	$13.97	$15.51	$17.21	$19.10	$21.21
Other Income, net	-$0.33	-$0.50	-$0.50	-$0.50	-$0.50	-$0.50
Operating Income (bil)	$15.25	$17.36	$19.96	$22.93	$26.32	$30.19
Operating Margin (%)	54.16%	54.54%	55.50%	56.42%	57.31%	58.17%
Tax Expense	$2.38	$2.60	$2.99	$3.44	$3.95	$4.53
Net Income (bil)	$12.87	$14.76	$16.97	$19.49	$22.37	$25.66
Outstanding Shares (bil)	0.9270	0.9085	0.8903	0.8725	0.8550	0.8379
Earnings Per Share	$13.89	$16.24	$19.06	$22.34	$26.17	$30.62
Share Price (Tgt P/E)	$537.85	$624.28	$724.61	$841.05	$976.21	$1,133.09
Extra Shares w/ Reinvested Div	1.0000	1.0057	1.0112	1.0166	1.0219	1.0271
Total CAGR						**16.69%**

Table 1: Mastercard 5-year Valuation Forecast (revenue and income in billions).

With an estimated 5-year revenue CAGR of ∼13%, Mastercard's model produces highly consistent operating leverage. Operating expenses are projected to grow only ∼11% annually, allowing operating margins to slowly grow into the high end of their historical average as VAS continues to be a larger chunk of their overall revenue. Combined with continued buybacks of roughly 2% per year and low capital intensity, EPS compounds from about $13.89 in 2025 to $30.62 by 2030, a powerful ∼17.1% EPS CAGR. Unlike companies reliant on volatile transaction cycles or cyclical products, Mastercard's growth comes from structurally expanding global digital payment penetration and fast-growing VAS, which compounds at a meaningfully higher rate than the core payment network. Applying a 37x terminal P/E multiple, our estimate of what a high quality, wide-moat, cross border payments network with sticky issuer relationships should command, yields a compelling 16.7% annual return over the next five years. This reflects not only earnings growth but also the consistency and predictability of Mastercard's cash generation.

What has to go right for Mastercard to maintain (or expand) its premium multiple? VAS must continue compounding in the mid teens, reinforcing Mastercard's evolution from a toll-booth model into a data services platform. Cross border volumes, among the company's most lucrative revenue streams, must maintain strong recovery trends. And importantly, management must continue deploying capital with discipline: consistent buybacks and stable dividend growth. If these conditions hold, Mastercard is one of the few mega caps capable of sustaining a high 30x to 40x earnings multiple. However, if VAS adoption slows, cross border normalizes harder than expected, or regulatory headwinds materially impact economics, the premium valuation could compress, though even then, the underlying business fundamentals remain among the strongest in global payments and not pose significant downside.

At a 37x terminal P/E and a forecasted ∼17% EPS CAGR, the expected 5 year annual return of ∼16.7% is meaningfully higher than market averages, and it reflects a business with margins, competitive positioning, and capital efficiency that few companies can match. In practice, investors are paying for consistency, resilience, and a long runway of secular digital payments adoption. From a valuation perspective, Mastercard is extremely attractive and poses one of the best risk to reward ratios for the market due to its quality and predictability.

It's also worth emphasizing that Mastercard's long-term growth outlook is not solely dependent on maintaining exceptionally high VAS growth. Even if VAS were to decelerate materially, from its current 20%+ pace down to something closer to 10 to 11%, our model still supports a healthy 12 to 13% expected return. The 13% revenue CAGR we project already embeds a natural moderation as the business scales, meaning growth would need to slow far more dramatically before the long term compounding thesis is impaired.

The business would need to miss on multiple vectors simultaneously (VAS expansion issues, core payment volume decreasing, and margins declining) for the expected value to fall materially below the market. This creates an asymmetric setup where the bear case still generates a positive expected return, while the base and bull scenarios continue to reflect meaningful long term compounding.

Risks

Operating expenses increased 14% YoY, with a notable part attributable to strategic investments (including technology infrastructure and acquisitions). While these are aimed at future growth, they reduce operating leverage and may not yield immediate returns, posing a risk if revenue growth slows.

The company faces headwinds from the lapping of significant portfolio wins, such as Citizens and Wells Fargo, which ramped up in 2024. As these anniversaries pass, it results in more difficult YoY growth comparisons and a more pronounced impact on reported volume growth in subsequent quarters.

There is a current ongoing migration of the Capital One debit portfolio moving away from Mastercard. This is expected to create a negative impact on net revenue growth, particularly as conversions accelerate in the latter part of the year and into 2026. While the impact is currently minimal, this transition poses a risk to future revenue consistency.

Sell Criteria

A position in Mastercard should be reconsidered if the company's fundamental drivers begin to materially deteriorate. The most important signal would be a meaningful and sustained slowdown in Value Added Services (VAS) growth, since VAS is the key reason Mastercard's revenue growth consistently outpaces Visa. If VAS momentum weakens and appears structurally impaired rather than temporarily soft, the long term growth thesis would be challenged.

Additionally, investors should be cautious if margins begin to compress due to rising operating expenses or heavy investment that fails to generate corresponding revenue or ROIC improvements. Mastercard's competitive edge stems from its high operating leverage and efficient capital deployment; if those characteristics begin to erode, the company's compounding ability would be impaired.

Of course, if the stock price appreciates to a level where the expected forward return becomes negligible or negative, we will trim or exit the position accordingly.

In short, the thesis breaks if VAS growth decelerates materially or if capital allocation and investment decisions begin destroying ROIC, leading to persistent margin pressure.

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